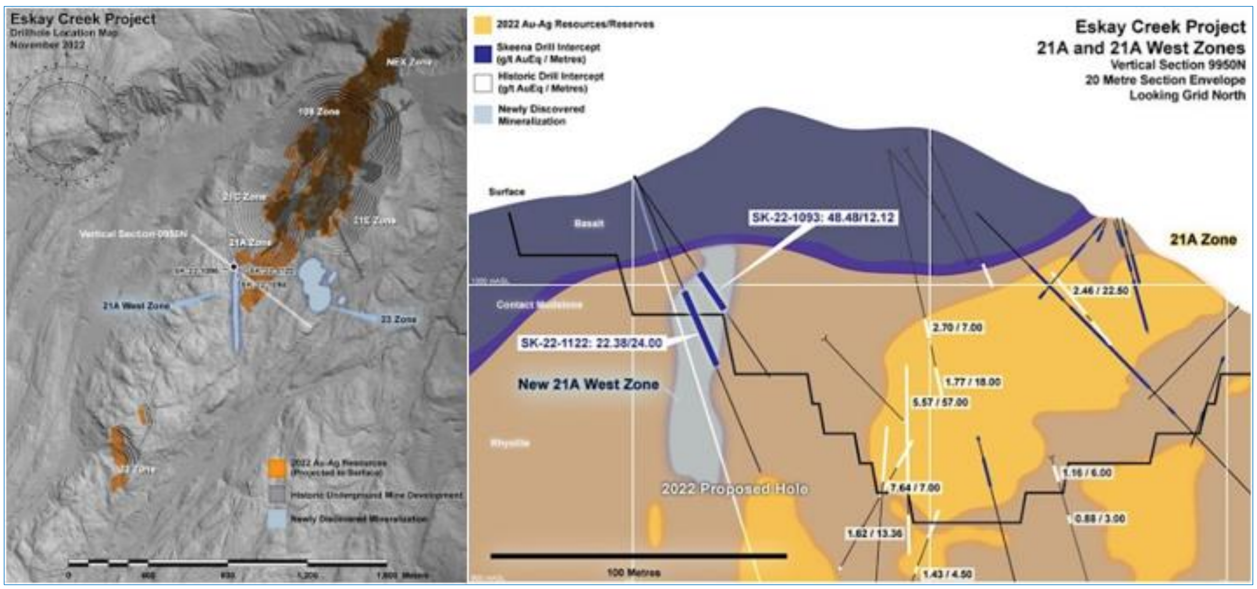
Sprott | Equity Research

09 November 2022

Ticker: SKE CN	**Pro. forma. cash:** C$49m	**Project**: Eskay Creek
Market cap: C$517m	**Price:** C$6.85sh	**Country:** Canada, BC
REC. (unc): BUY	*TARGET (unc): C$10.80/sh*	*RISK RATING (unc): HIGH*

*Yesterday's high-grade intercept of **24m @ 22.3 g/t** AuEq from the 21A West Zone, 15m below a recently reported hit of 12.1m @ 48.5g/t in an area previously modelled as waste rock, provides a useful ounce addition to the mineable resource base. The second intercept of **20.6m @ 5.5 g/t** from 148m, 25m below the planned open-pit and within the new rhyolite-hosted mineralization is a useful confirmation of the continuity of mineralization, which, pending outstanding results could translate to a deepening of the existing pit. While these hits could improve economics by reducing local strip ratio and likely add more ounces to the MRE and NPV, higher grades in existing reserves will still dominate the NPV, hence permitting and funding progress are key in the short term. As such, **we maintain our BUY rating and C$10.80/sh PT based on 0.6xNAV$_{5\%-1700}$.** Looking ahead, step-out and infill drilling are ongoing with a 60km drill program providing abundant news flow as the project continues to make headway this year. The lower mudstone is one target which could add ounce-level resources which would improve the economics. Ahead of mining, infill and upgrading more reserve to proven from probable, today's news helps to de-risking the asset.*

Figure 1. Eskay Creek Plan view and 21A / 21A West Zone vertical section showing yesterday's drilling



Source: Skeena

Delineation drilling extends 21A West Zone with 24m @ 22.3g/t; new mineralization below pit

Skeena reported results from 21A West Zone delineation drilling, hitting **24.0m @ 22.3g/t AuEq** from 44m, 15m deeper than a previous mineralized drill hole (12.1m @ 48.5 g/t). Another intercept returned **20.6m @ 5.5g/t** from 147m, 25m below the current open pit shell. A total of 55,652m were drilled during the 2022 drilling program and the results will be included in the 2H23 MRE update.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, and DFS optimizations in coming 12M

Catalysts

- 2023: permitting updates
- 3Q23: SCPe build start
- CY26: SCPe first production
- 2H22: Exploration and AWF infill / expansion drilling

Research

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Ticker: SKE CN	**Price / mkt cap:**	C$6.85/sh, C$517m	**Project PNAV today:**	0.35x	**Asset:** Eskay Creek / Snip
Author: B Salier/ E Magdzinski	**Rec / 0.6xNAV PT:**	BUY, C$10.8/sh	**1xNAV$_{4Q22}$ FF FD:**	C$19.61/sh	**Country:** Canada: BC

Commodity price	**CY18A**	**CY19A**	**CY20A**	**CY21A**	**CY22E**
Gold price	1,700	1,700	1,700	1,700	1,700

SOTP *project* valuation*	**C$m**	**O/ship**	**NAVx**	**C$/sh**
Ungeared proj. @ build start (3Q23)	1,574	100%	1.00x	19.05
Pro-forma cash (3Q22)	49	100%	1.00x	0.59
Cash from options	58	100%	1.00x	0.70
Rsr ex rsv @US$50/oz	92	100%	1.00x	1.12
Snip (US$75/oz)	64	100%	1.00x	0.78
Asset NAV5% C$1700/oz	1,838			22.2
**Shares diluted for options but not mine build*			Market P/NAV5$_{\%\ 3Q22}$	0.31x

Share data			
Basic shares (m)	75.5	FD with build equity raise	109.2
FD with options (m)	82.6		

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,145	1,279	1,413	1,547	1,681
7.5% discount	1,308	1,458	1,608	1,758	1,908
5.0% discount	1,500	1,669	1,838	2,007	2,175
Ungeared project IRR:	40%	44%	47%	51%	54%
Project NPV (C$/sh)*	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	13.85	15.48	17.10	18.73	20.34
7.5% discount	15.83	17.65	19.47	21.28	23.09
5.0% discount	18.15	20.20	22.2	24.28	26.32

**Project level NPV, excl finance costs and central SG&A, discounted to build start*

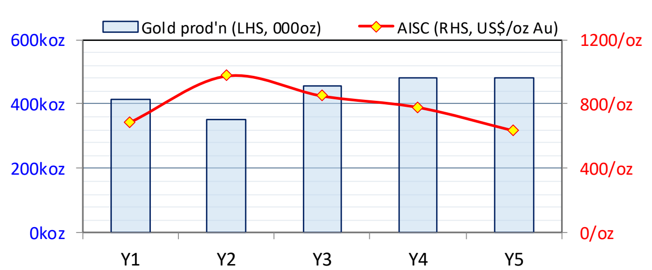
Group valuation over time^	**Dec-22**	**Dec-23**	**Dec-24**	**Dec-25**	**Dec-26**
Eskay Creek (C$m)	1,539	1,639	1,879	2,253	2,321
Net cash prior qtr (C$m)	49	1	59	(220)	(232)
G&A and finance costs (C$m)	(90)	(83)	(97)	(84)	(42)
Cash from options (C$m)	58	58	58	58	58
Snip	64	64	64	64	64
NAV FF FD (C$m)	1,620	1,679	1,964	2,072	2,170
1xNAV$_{5\%}$/sh FF FD (C$/sh)	19.61^	15.37*	17.98*	18.96*	19.86*

Geared company NAV diluted for mine build, net G&A and finance costs					
1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	1,604	1,778	1,952	2,126	2,301
7.5% discount	1,690	1,873	2,055	2,238	2,420
5.0% discount	1,786	1,978	2,170	2,361	2,553
Geared project IRR:	38%	42%	45%	48%	51%
1xNAV FF FD (C$/sh)^	$1500oz	$1600oz	$1700oz	$1800oz	$1900oz
10.0% discount	12.79	14.71	16.65	18.61	20.59
7.5% discount	14.08	16.12	18.18	20.26	22.35
5.0% discount	15.50	17.67	19.9	22.07	24.29

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	**Y1**	**Y2**	**Y3**	**Y4**	**Y5**
Gold production (000oz)	413	352	457	481	480
C1 cost (US$/oz)	609	895	720	654	587
AISC cost (US$/oz)	689	976	851	780	634

AISC = C1 + ug sustaining capex, Y1 = 12M to Mar 2027



Source: SCP estimates

Resource / Reserve	**AuEq (koz)**	**AuEq (g/t)**
Pittable resource	5329koz	3.20g/t
Underground resource	279koz	5.23g/t
Snip	646koz	13.60g/t

Funding: uses		**Funding: sources**	
Build Capex	C$592m	Pro-forma cash (3Q22)	C$68m
SCPe G&A to 1st Au + NSR buyback	C$28m	Mine debt @ 65% gearing	C$385m
SCPe pre-production expl'n	C$0m	Mine build equity at 0.4xNAV	C$207m
SCPe finance costs + wkg cap	C$32m	Total proceeds	C$660m
Total uses	C$651m	*Buffer*	*C$8m*

**Cash from options expiring pre first pour*

Ratio analysis	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Average shares out (m)	92.2	71.1	97.8	101.0	101.0
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	592.7	442.7	476.1	687.5	994.3
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	33.5x

Income statement	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Net revenue (C$m)	-	-	-	-	38.5
Gross profit (C$m)	**-**	**-**	**-**	**-**	**30.4**
D&A, attrib (C$m)	0.3	0.1	-	-	5.9
Admin (C$m)	22.9	14.8	12.3	9.2	-
Expensed exploration (C$m)	107.5	43.0	-	-	-
Finance cost (C$m)	(0.2)	(0.1)	-	-	26.2
Royalty (C$m)	-	-	-	-	0.7
Forex, other (C$m)	(12.8)	(7.9)	-	-	-
Taxes (C$m)	-	-	-	-	3.2
Net income (C$m)	**(117.6)**	**(49.9)**	**(12.3)**	**(9.2)**	**(5.6)**

Cash flow, attrib.	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
EBIT (C$m)	(117.8)	(50.0)	(12.3)	(9.2)	23.8
Add back D&A (C$m)	0.3	0.1	-	-	5.9
Less tax + net interest (C$m)	(0.2)	(0.1)	-	-	29.3
Net change in wkg cap (C$m)	(10.3)	4.6	-	(1.1)	(10.9)
Add back other non-cash (C$m)	1.4	(3.1)	-	-	-
Cash flow ops (C$m)	**(126.1)**	**(48.2)**	**(12.3)**	**(10.3)**	**(10.6)**
PP&E - build + sust. (C$m)	(13.1)	4.8	(35.4)	(179.3)	(296.3)
PP&E - expl'n (C$m)	(0.5)	(17.5)	22.5	-	-
Cash flow inv. (C$m)	**(13.5)**	**(12.7)**	**(12.9)**	**(179.3)**	**(296.3)**
Share issue (C$m)	137.0	65.5	174.4	-	-
Proceeds from sale (C$m)	5.0	-	-	-	-
Debt draw (repay) (C$m)	(1.6)	(0.2)	-	-	436.0
Cash flow fin. (C$m)	**140.5**	**65.3**	**174.4**	**-**	**436.0**
Net change in cash (C$m)	0.8	4.5	149.2	(189.6)	129.2
EBITDA (C$m)	(117.5)	(49.9)	(12.3)	(9.2)	29.7

Balance sheet	**CY21A**	**CY22E**	**CY23E**	**CY24E**	**CY25E**
Cash (C$m)	40.3	45.6	194.8	5.2	134.5
Acc rec., inv, prepaid (C$m)	13.9	7.7	7.7	8.8	7.2
PP&E + other (C$m)	100.8	124.4	137.3	316.6	606.9
Total assets (C$m)	**155.0**	**177.8**	**339.9**	**330.7**	**748.5**
Debt (C$m)	1.3	1.2	1.2	1.2	437.2
Accounts payable (C$m)	12.5	13.2	13.2	13.2	0.6
Others (C$m)	17.6	9.6	9.6	9.6	9.6
Total liabilities (C$m)	31.4	24.0	24.0	24.0	447.5
Sh'hlds equity + wrnts (C$m)	362.0	449.8	624.2	624.2	624.2
Retained earn'gs + rsvs (C$m)	(238.4)	(296.0)	(308.3)	(317.5)	(323.1)
Liabilities + equity (C$m)	**155.0**	**177.8**	**339.9**	**330.7**	**748.5**

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TENDER: The analyst recommends tendering shares to a formal tender offering

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Summary of Recommendations as of November 2022	
BUY:	51
HOLD:	1
SELL:	0
UNDER REVIEW:	1
TENDER:	0
NOT RATED:	0
TOTAL	53

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